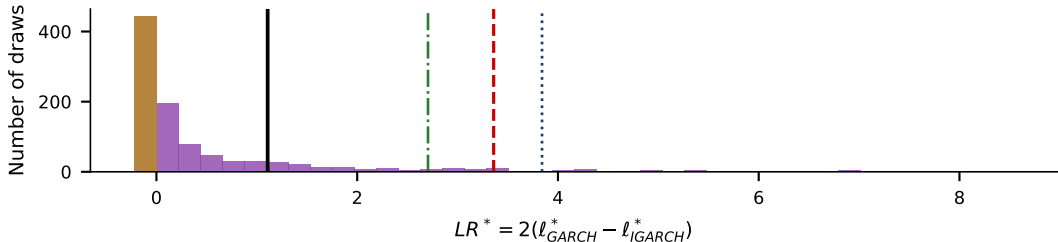


S&P 500: null distribution of the LR statistic



- $LR^* > 0$ on 999 paths simulated under H_0 (IGARCH-t)
- Observed $LR = 1.11$
- Bootstrap 95% cutoff = 3.36
- χ_1^2 cutoff = 3.84
- Mixture $\frac{1}{2}\chi_0^2 + \frac{1}{2}\chi_1^2$ cutoff = 2.71
- $LR^* = 0$: 44.2% of the draws (estimate at the bound)